

The Matters Requiring Attention (MRAs) below are listed in priority order and require remedial action by the Board and senior management. For additional details, including management's responses to these matters, refer to the Examination Conclusions and Comments section of the Report of Examination.

The Board is reminded of their responsibility to ensure management appropriately responds to and addresses all MRAs within this Report of Examination. MRAs will receive regulatory follow-up prior to the next examination to ensure they are appropriately addressed.

MRA Number	Risk Category	Summary
MRA-2027-01	Capital	<u>Improve the Capital Position</u> : The Board should increase capital to a level commensurate with the bank's elevated risk profile.
MRA-2027-02	Lending	<u>Improve Loan Underwriting and Administration</u> : The Board should remediate loan underwriting and administration weaknesses.
MRA-2027-03	Lending	<u>Reduce the Volume of Adversely Classified Items</u> : The Board should reduce the volume of adversely classified loans.
MRA-2027-04	Lending	<u>Replenish the Allowance for Credit Losses (ACL)</u> : The Board should restore the ACL balance to an appropriate level commensurate with the loan portfolio's elevated risk profile.
MRA-2027-05	Liquidity	<u>Increase On-Balance Sheet Liquidity and Access to Contingent Funding Sources</u> : The Board should increase on-balance sheet liquidity and access to contingent funding sources to a level commensurate with the bank's elevated risk profile.

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Uniform Financial Institutions Rating System

	Current Exam	Prior Exam	Prior Exam
Examination Start Date	11/23/2026	07/28/2025 / S	12/31/2023
Examination As Of Date	09/30/2026	03/31/2025 / S	09/30/2023
Composite Rating	3	2	2
Component Ratings:			
Capital	3	2	2
Asset Quality	3	2	2
Management	3	2	2
Earnings	3	2	2
Liquidity	3	2	2
Sensitivity to Market Risk	2	2	2
Information Technology	2		2
Compliance¹	2		
Community Reinvestment Act¹	S		

¹ Examination dated 01/25/2025

SUMMARY

Anybank is a \$296 million institution headquartered in Anytown, Anystate, offering traditional loan and deposit products. The bank's overall financial condition has deteriorated and is now less than satisfactory. Management's strategy to diversify the loan portfolio away from 1-4 family residential loans to commercial real estate (CRE) lending has significantly elevated the bank's risk profile due to less than satisfactory CRE loan underwriting. Inadequately managed loan growth has led to asset quality deterioration, diminished capital ratios, weakened earnings, and reliance on brokered deposits. The volume of problem assets is significant in relation to capital. Low on-balance sheet liquidity and limited access to secured contingent borrowing capacity heighten the risk of funding shortfalls given upcoming brokered deposit maturities. Earnings performance is less than satisfactory, and the timeline for returning to well capitalized status is uncertain due to asset quality and earnings weaknesses. The bank may be more vulnerable to changes in market interest rates given lower levels of capital and earnings. Oversight of the Anti-Money Laundering/Countering the Financing of Terrorism (AML)/(CFT), Information Technology (IT), Consumer Compliance, and Community Reinvestment Act programs is satisfactory.

CAPITAL - 3

The institution's capital position is not commensurate with its increasing risk profile. As of September 30, 2026, the leverage and total risk-based capital (TRBC) ratios were 6.61 and 9.98 percent, respectively. Adjusted for losses identified during the examination and an estimated ACL shortfall, these ratios decline to total 6.12 and 9.54 percent, respectively. Capital ratios have steadily declined since the 2025 state examination as 17 percent asset growth outpaced retained earnings. The TRBC ratio fell below 10 percent resulting in a capital category

change from well capitalized to adequately capitalized under the Prompt Corrective Action (PCA) provisions of Section 38 of the Federal Deposit Insurance Act and Part 324 of the FDIC Rules and Regulations. Anybank's shell holding company, AB Holdco, is unable to provide capital support.

Chief Executive Officer (CEO) J. Alpha stated that asset growth has largely been opportunistic as management was not pursuing loan portfolio expansion. Rather, positive customer referrals have kept the loan pipeline strong. With new loan opportunities outpacing organic deposit growth, management used brokered deposits to bridge the funding gap. Management viewed loan growth as a path to strengthen earnings and improve long-term profitability with the understanding that capital ratios would be negatively impacted in the short term. Although some recent loan growth is comprised of lower-risk 1-4 family residential real estate loans, much of the growth since the prior examination is centered in CRE loans, which have deteriorated, and the aggregate volume of problem assets is significant in relation to capital.

The board-approved Capital Plan requires minimum leverage and TRBC ratios of 8.0 and 11.0 percent, respectively; however, the institution has treated these ratios as targets rather than limits. Board minutes describe declining capital ratios as a byproduct of asset growth, and concerns related to the decline below the well capitalized threshold were not documented before receipt of the November 2, 2026, FDIC letter notifying the Board of the PCA category change. The decline below the well capitalized threshold has meaningfully impacted liquidity given the bank's reliance on brokered deposits.

MRA-2027-01: Capital - Improve the Capital Position

Capital does not support the increased level of problem assets and less stable funding. The bank's leverage and TRBC ratios declined since the prior examination due to asset growth that was fueled by weak loan underwriting and brokered deposits. In addition, the bank's "adequately capitalized" PCA category restricts its ability to accept, renew, or rollover brokered deposits. Capital levels pose a reasonably foreseeable risk of material harm to the bank's financial condition. The Board of Directors and senior management should take immediate action to increase capital to a level commensurate with the bank's elevated risk profile.

CEO Alpha stated that the institution is making a concerted effort to increase capital levels and restore the well capitalized PCA category by June 30, 2027.

ASSET QUALITY - 3

Asset quality has deteriorated and is less than satisfactory. The volume of adversely classified items has increased significantly since the prior examination. Examiners identified weaknesses in loan underwriting as the key driver in higher classification levels. The loan portfolio has grown steadily since the 2023 FDIC examination, increasing 31 percent at the 2025 state examination and an additional 29 percent as of September 30, 2026. Although some loan growth has occurred in the 1-4 family residential real estate loan portfolio, much of the growth is centered in the CRE portfolio, where problem assets are concentrated. One-to-four family residential mortgage loans represent 53 percent of total loans while owner-occupied and non-owner-occupied commercial real estate loans comprise most of the remaining loans. Non-owner-occupied mortgage loans represent 215% of Tier 1 capital and the ACL. The securities portfolio is 18 percent of total assets and is comprised entirely of short- and intermediate-term U.S. Treasury and agency securities.

Adversely Classified Items

Adversely classified items (ACI) are elevated at \$15,692M or 53 percent of tier 1 capital and the ACL, an increase from 18 percent at the 2025 examination. The ratio of past due and nonaccrual loans to gross loans has also increased from 1.05 percent to 5.51 percent since the prior examination. Eight loan relationships were downgraded

during the examination totaling \$11,141M and representing 71 percent of total ACI. Downgrades were largely attributed to an emerging trend of borrowers with weak cashflow and recent payment delinquencies that had not yet been incorporated into internal risk ratings. Problem loans are largely CRE credits as only one relationship, is from the 1-4 family residential real estate loan portfolio.

An analysis of ACI indicates that \$6,968M in loans were not adversely classified at prior examinations, with \$6,155M coming from credits originated in the last two years, including the X-Ray, Delta, Golf, and Lima relationships, which were downgraded during the examination. These four obligors account for 39 percent of ACI and originated in the months just prior to the 2025 examination. Other assets classified Substandard include accrued interest of \$53M associated with adversely classified loans.

Credit Underwriting and Administration

Examiners identified several loans, including the X-Ray, Golf, and Lima adversely classified relationships, with underwriting weaknesses at origination. These deficiencies involve insufficient analysis of financial information and debt service coverage, an overestimation of rental income growth, and overreliance on collateral (evidencing relatively high loan-to-value ratios) given the institution's recent entrance into CRE lending. In certain instances, like the Golf and Lima relationships, key covenants for quarterly financial statements and rent rolls were not incorporated into loan agreements. As a result, management was unable to recognize credit deterioration until delinquencies appeared. Refer to the Items Subject to Adverse Classification pages for detailed information on specific loans.

Further, examiners downgraded four in-scope loan relationships to Substandard classification. Only two relationships were identified on the bank's watchlist despite management's awareness of emerging weaknesses in all four credits. Monitoring efforts and ongoing analysis of CRE loan obligors' repayment capacity are not evident, and certain credits had not been downgraded even though signs of emerging risk were apparent. Further, an independent credit review has not occurred since January 2024, when the bank's previous credit review officer retired. Additionally, credit administration practices for placing loans on nonaccrual need improvement. Examiners identified \$2,776M in loans that warrant nonaccrual treatment, compared to reported nonaccrual loans of only \$825M.

Additionally, the bank does not have an appraisal review program, which is a violation of Section 323.4 of the FDIC Rules and Regulations. Refer to the *Violations of Laws and Regulations* page for additional details.

Allowance for Credit Losses

The ACL balance of \$2,112M or 0.87 percent of loans and leases as of September 30, 2026, is underfunded given that ACI was higher than management's internal calculation. The ACL methodology includes an analysis of lifetime loss rates based on loan type; then qualitative factors are assigned to incorporate changes in past due, nonaccrual, and adversely classified loans among other factors. With the significant increase in ACI coupled with the elevated levels of past due and nonaccrual loans, qualitative factors do not adequately capture the loan portfolio's increased risk characteristics. Examiners estimate that an additional \$150M to \$200M in provisions for credit losses are required. This estimate uses the bank's ACL methodology to indicate an appropriate range of \$1,100M to \$1,200M. Management subsequently made additional provisions of \$75M and amended the year-end Call Report.

Disposition of Assets Classified Loss

CEO Alpha stated that assets classified Loss totaling \$650M will be charged off by December 31, 2026.

MRA-2027-02: Asset Quality - Improve Loan Underwriting and Credit Administration

Less than satisfactory underwriting and administration practices for the growing CRE loan portfolio have caused an increase in delinquent and adversely classified loans. Several large CRE loans evidenced underwriting weaknesses at origination including insufficient borrower financial analyses, overreliance on collateral, and aggressive loan-to-value ratios, while management's nonaccrual process, credit watchlist, and internal loan rating system failed to identify emerging credit issues that led to higher classifications. The Board of Directors and senior management should remediate loan underwriting and administration weaknesses to mitigate the risk of further losses.

CEO Alpha committed to improve loan underwriting and administration by June 30, 2027.

MRA-2027-03: Asset Quality - Reduce the Volume of Adversely Classified Assets

The level of problem assets poses a current and reasonably foreseeable risk of material financial harm and is a burden on capital, earnings, and liquidity. The Board of Directors and senior management should reduce the volume of problem loans.

CEO Alpha committed to reduce the volume of adversely classified assets by June 30, 2027.

MRA-2027-04: Asset Quality - Replenish the Allowance for Credit Losses

As discussed above, examiners estimated that \$150M to \$200M in additional provisions are necessary using the bank's ACL methodology. The Board of Directors and senior management should replenish the ACL to an appropriate level commensurate with the loan portfolio's elevated risk profile.

CEO Alpha committed to restore the ACL to an appropriate level by March 31, 2027.

LIQUIDITY - 3

Liquidity is less than satisfactory. Limited availability of on-balance sheet liquidity and elevated utilization of brokered deposits, combined with diminishing capital ratios present material liquidity risk if management does not identify additional stable sources of primary and contingent funding in the near term. Management placed significant reliance on brokered deposits to fund loan growth over the last three years. Brokered deposits are a funding concentration, growing from zero to \$47,904M (\$2,636M reciprocal) or approximately 16 percent of total assets as of September 30, 2026. Due to the bank's adequately capitalized PCA categorization and accompanying restrictions on brokered deposits, alternate funding sources are necessary to fund maturing brokered deposits. Refer to the Concentrations page for specific information on brokered deposits as an individual funding source.

On-balance sheet liquidity totaled \$20,763M or approximately 7 percent of total assets as of September 30, 2026 (including unencumbered securities, cash, and interest-bearing bank balances (IBBB)). However, unrealized investment portfolio losses totaled \$2,140M, with several individual securities being subject to unrealized holding losses, thereby reducing marketable liquid assets (without an embedded loss) to \$14,830M or 5 percent of total assets. Additionally, during the third quarter 2026, management funded the outflow of \$8,673M in maturing brokered deposits, which further reduced cash and IBBB to \$6,280M as of October 31, 2026. Upcoming brokered deposit maturities for 2027 total \$24,699M and include \$1,286M in the first quarter, \$16,794M in the second quarter, and \$6,619M in the third quarter.

Existing secured borrowing availability is limited to \$3,500M at Anystate Bankers Bank, and the institution is also an FHLB member with no outstanding advances. However, it is uncertain whether FHLB capacity will continue to be readily available on favorable terms given the institution's current condition. With on-balance sheet liquidity levels

and secured borrowing lines well short of brokered deposit refinancing needs for 2027, additional deposits or secured funding sources will need to be identified to address runoff and liquidity exposure. This funding issue is further compounded by the increase in adverse classifications and less than well capitalized position. The institution has not established borrowing capacity at the Federal Reserve's discount window. The Contingency Funding Plan (CFP) does not include a stress scenario that addresses the effect of becoming less than well capitalized. The CFP was not activated in 2026 when asset growth, funded by brokered deposits, began to impact capital ratios despite an early warning indicator on "rapid asset growth funded by less stable funding sources."

MRA-2027-03: Liquidity - Increase On-Balance Sheet Liquidity and Access to Contingent Funding Sources

Limited on-balance sheet liquidity and significant utilization of brokered deposits to fund CRE loan growth have weakened the liquidity position and present material financial risk. The bank's recategorization to "adequately capitalized" for PCA purposes has restricted its ability to use brokered deposits pursuant to section 337.6 of the FDIC Rules and Regulations and could potentially limit capacity from other funds providers. The current level of liquid assets and borrowing lines may fall short of brokered deposit refinancing needs for 2027. Accordingly, the Board and senior management should take immediate action to increase on-balance sheet liquidity and access to contingency funding sources to a level commensurate with the bank's elevated risk profile.

CEO Alpha committed to increase on-balance sheet liquidity by June 30, 2027, and increase access to contingency funding sources by March 31, 2027. He indicated that the institution is working to establish borrowing capacity at the Federal Reserve's discount window. The institution has also begun to replace maturing brokered deposits by issuing time deposits obtained through listing services at interest rates below the national rate cap. The bank is reviewing options to borrow against its securities portfolio and has filed a brokered deposit waiver request with the FDIC to roll over maturing brokered time deposits.

MANAGEMENT - 3

Management and the Board of Directors' oversight needs improvement. CEO Alpha predominantly directs the bank's operations and strategy. Board discussions and decisions reflect a largely reactive directorate that has not taken an active role in controlling risks from major strategies and resulting balance sheet changes. The Board's approach has negatively impacted the institution's condition as noted throughout this Report of Examination.

The institution's overall risk profile has increased as loan growth, funded largely by brokered deposits, increased asset levels until capital ratios fell below the regulatory minimum for a well-capitalized institution. The Board did not anticipate or adapt to the institution's growth or establish acceptable risk tolerances so that loan demand would not outstrip capital, liquidity, and funding resources. Management originated new loans, which they anticipated would ultimately lead to increased net income, rather than turn away prospective customers due to funding constraints. As loan growth ensued and the volume of brokered deposits increased, the Board sometimes questioned the appropriateness of this new strategy but did not take action to mitigate risk. The Board was also unaware of loan portfolio deterioration as management was not monitoring or using emerging trend information to update the watchlist and internal credit risk ratings. Further, a violation regarding the insider lending limit is noted. Refer to the *Violations of Laws and Regulations* page for additional information.

Strategic Planning

The current Strategic Plan dates to 2024 and does not contain measurable goals for capital levels, asset size,

loan growth, or profitability. CEO Alpha and members of senior management indicate they are drafting a more comprehensive plan for 2027-2029.

Audit Program

The internal audit scope and program is satisfactory. The audit resolution process is adequate with findings formally tracked to completion.

Anti -Money Laundering / Countering the Financing of Terrorism

The AML/CFT program is adequate. Internal controls, independent review, training, and AML/CFT oversight of the program are reasonably designed to mitigate ML/TF risks.

Sanctions Compliance

The bank has established processes and procedures for compliance with OFAC issued regulations.

EARNINGS - 3

Earnings need improvement given asset quality deterioration. Through September 30, 2026, the return on average assets (ROAA) was 0.32 percent, which is consistent with the year-end 2025 ROAA of 0.31 percent. However, adjusting for examiner identified Loss and additional provision expense, the bank reported a 2026 year-end net income of \$327M, resulting in a ROAA of 0.11 percent.

Despite nearly \$24 million in loan growth since the 2025 state examination, the net interest margin (NIM) remains modest and mostly unchanged at 3.15 percent. The elevated cost of funds associated with brokered deposit usage has precluded meaningful NIM expansion, as brokered deposits comprise 62 percent of deposit growth since the previous examination. Additionally, the intermediate-term, lower-rate securities portfolio has restrained net interest income (NII) growth, and several securities with unrealized holding losses may limit management's ability to sell bonds and restructure the portfolio without recognizing some level of losses. Prospects for sustained NIM improvement depend on growing lower-cost local deposits to replace higher-cost brokered deposits.

At 2.60 percent of average assets, overhead expense remains adequately controlled, and additional expenses associated with a new branch have been offset by efficiencies gained through asset growth. Nonetheless, collection costs for problem credits will likely increase overhead expenses in the near term. Provision expense was high in 2026, totaling \$481M at year-end after incorporating examination findings. Although near-term loan growth is expected to be minimal, management intends to provision \$200M in 2027.

The 2027 budget has not been completed, but CEO Alpha estimates net income of approximately \$350M. Considering additions to nonaccrual loans, asset quality deterioration, and potential funding complications from brokered deposit maturities and roll over restrictions, projected net income is uncertain.

SENSITIVITY TO MARKET RISK - 2

Sensitivity to market risk remains acceptable as lower earnings and capital levels have reduced support for interest rate risk. Earning assets are mostly intermediate to longer-term, with the bulk of loans repricing in the one to five-year time horizon, while the securities portfolio has a weighted average life of 4.7 years. Liabilities are shorter-term, with 91 percent of interest-bearing deposits repricing in less than one year. This balance sheet structure creates a mismatch between earning assets and interest-bearing liabilities, where NIM compression is projected when interest rates rise and margin expansion is observed when rates decline.

As evidenced in the bank's interest rate risk model, a 3.0 percent decline in NII is projected in a positive 200 basis point shock scenario, and a 2.0 percent NII benefit when rates decline 200 basis points over one year. Similarly, economic value of equity simulations reflect balance sheet valuation losses across all rising rate scenarios, with a 18.0 percent decline when rates rise 200 basis points and a 12.0 percent gain when rates fall 200 basis points. The interest rate risk model does not capture the impact of brokered deposit restrictions.

Interest rate risk management practices are acceptable. The Asset Liability Committee meets monthly and reviews various interest rate risk reports, such as quarterly model results, balance sheet composition changes, and interest rate offerings. Management obtained a third -party independent review of its interest rate risk management process in 2024 and plans to have a back-test analysis performed in 2027. Sensitivity testing of assumptions and an update to non-maturity deposit beta and decay rates has not occurred since 2023.

INFORMATION TECHNOLOGY – 2

Information Technology (IT) operations and risk management practices are satisfactory. The Board and senior management adequately oversee the IT program and functions and have established acceptable policies and controls. The outsourced IT audit function is satisfactory. Cybersecurity preparedness is adequate, and management satisfactorily assesses cybersecurity risk exposure including inherent risks and cyber maturity levels.

IT Exit Meeting

IT conclusions were discussed with management on January 7, 2027. CFO Bravo and Chief information Security Officer South represented the bank. Representing the FDIC were IT Examiner-in-Charge (EIC) Beta, and safety and soundness EIC North.

MEETING WITH THE BOARD OF DIRECTORS

A meeting was held with the Board of Directors to discuss examination results on February 9, 2027. All members of the directorate were present. Management was represented by CEO Alpha, Chief Financial Officer Bravo, and Chief Credit Officer Kilo. The Anystate Banking Department was represented by Deputy Commissioner Sierra. The FDIC was represented by Examiner-in-charge North, Case Manager West, and Supervisory Examiner East. All examination findings were discussed in detail.

DIRECTORATE RESPONSIBILITY

Each member of the Board is responsible for thoroughly reviewing the Report. Further, all directors should sign the *Signature of Directors* page, which affirms that each director reviewed the Report in its entirety.

The violations below are listed in priority order and require remedial action by the Board and senior management. The Board is reminded of their responsibility to ensure management appropriately addresses all violations within this Report of Examination.

VIOLATIONS OF LAWS AND REGULATIONS

Insider Lending Limit

Federal Reserve Board Regulation O, which implements Sections 22(g) and 22(h) of the Federal Reserve Act, governs transactions between member banks and bank insiders. Section 18(j)(2) of the Federal Deposit Insurance Act makes these rules applicable to nonmember banks. The applicability of Regulation O to insured nonmember banks is further codified in Section 337.3 of the FDIC Rules and Regulations.

Section 215.4(c) of Regulation O limits the aggregate extensions of credit to any insider to the lending limit specified in Section 215.2(i). This limit is 15 percent of the bank's unimpaired capital and surplus in the case of loans that are not fully secured, and an additional 10 percent of the bank's unimpaired capital and surplus in the case of loans that are fully secured by readily marketable collateral having a market value, as determined by reliable and continuously available price quotations at least equal to the amount of the loan. Loans to Director Tango currently aggregate to 17.4 percent of the bank's exceed unimpaired capital and surplus and are not secured by readily marketable collateral. Management should take action to correct this violation.

CEO Alpha stated that, by June 30, 2027, the bank would participate one of Director Tango's loans to an unaffiliated bank in order to bring the aggregate indebtedness to below the applicable limit.

Real Estate Appraisal Standards

Section 323.4 of FDIC Rules and Regulations defines minimum appraisal standards for real estate-related transactions. Section 323.4 (c) states all appraisals shall be subject to appropriate review for compliance with the Uniform Standards of Professional Appraisal Practice. A violation exists as appraisal reviews are not performed, which is a systemic issue.

CEO Alpha stated that the bank would establish an appraisal review program by June 30, 2027.